MARTIN SOUCHIER

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EDUCATION

Ph.D. in Economics, Stanford University, 2017-2023.

M.A. in Economics, Sciences Po (France), 2014-2016.

B.A. in Economics, Paris Dauphine University (France), 2011-2014.

DISSERTATION COMMITTEE

Prof. Adrien Auclert (co-primary)
Economics Department, Stanford University
(650) 723-2218
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Prof. Patrick Kehoe (co-primary)
Economics Department, Stanford University
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Prof. Luigi Bocola
Economics Department, Stanford University
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Dr. Elena Pastorino
Hoover Institution, Stanford University
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RESEARCH AND TEACHING FIELDS

Field: Macroeconomics.

RESEARCH PAPER

The Pass-through of Productivity Shocks to Wages and the Cyclical Competition for Workers

Using French matched employer-employee data, I document that after positive firm-level productivity shocks, the wages of stayers rise and job-to-job transitions fall. However, after positive sectoral productivity shocks, wages rise significantly more and job-to-job transitions rise. To explain these differences, I build a model with dynamic wage contracts subject to two-sided limited commitment and imperfect information and in which sectoral productivity shocks generate cyclical competition for workers. After a positive firm-level shock, a firm increases its wages to reduce the quit rate of its workers. This increase is limited because workers are risk-averse and value insurance against shocks and because there is no increase in the cyclical competition from other firms. In contrast, after positive sectoral shocks, the cyclical competition for workers heats up and workers become more likely to switch jobs. In response, all firms increase their wages more aggressively to retain them. I find that firing costs play a new role when contracts are endogenous: by enhancing the commitment power of firms, they allow workers to receive more insurance against negative shocks.

Exchange Rates and Monetary Policy with Heterogeneous Agents: Sizing up the Real Income Channel (with A. Auclert, M. Rognlie and L. Straub), Under Revision for the **American Economic Review**

Introducing heterogeneous households to a New Keynesian small open economy model amplifies the real income channel of exchange rates: the rise in import prices from a depreciation lowers households' real incomes, and leads them to cut back on spending. When the sum of import and export elasticities is one, this channel is offset by a larger Keynesian multiplier, heterogeneity is irrelevant, and expenditure switching drives the output response. With plausibly lower short-term elasticities, however, the real income channel dominates, and depreciation can be contractionary for output. This weakens monetary transmission and creates a dilemma for policymakers facing capital outflows. Delayed import price pass-through weakens the real income channel, while heterogeneous consumption baskets can strengthen it.

TEACHING EXPERIENCE

2020 Teaching Assistant for Prof. A. Admati, Stanford University, Econ 143 (Finance, Corporations and Society).
Teaching Assistant for M. Tendall, Stanford University, Econ 52 (Intermediate Macroeconomics).
2019 Teaching Assistant for Prof. I. Segal, Stanford University, Econ 180 (Honors Game Theory).
2015 Teaching Assistant for Prof. B. Masson, Paris Dauphine University (Macroeconomics).

RELEVANT POSITIONS

2020-22 Research Assistant for Prof. A. Auclert, Stanford University.
2020-22 Research Assistant for Prof. P. Kehoe, Stanford University.
2016-17 Trainee, European Central Bank, Monetary Policy Strategy Division, Frankfurt.
2015 Intern, OECD, Environment Directorate, Paris.

SCHOLARSHIPS, HONORS AND AWARDS

2022 SIEPR Dissertation Fellowship.
2021 SIEPR George P. Shultz Dissertation Fund.
2017-2019 Stanford Graduate Fellowship.

PROFESSIONAL ACTIVITIES

Seminar presenter, Inflation and Business Cycle Dynamics in Open Economies, New York Federal Reserve Bank, 2021.
Seminar presenter, NuCamp PhD Workshop, Oxford University, 2021.

LANGUAGES

French (native), English (fluent), Turkish (novice)